

EXECUTIVE SUMMARY

A. INTRODUCTION

Mapandan was separated from Mangaldan and became a pueblo in January 1887. The name Mapandan means “a place with many pandan”. It has a total land area of 3,291.75 hectares and is composed of 15 barangays. Based on the 2020 National Census, the Municipality has a total population of 38,234. Wholesale and retail trade, as well as the repair of motor vehicles, are the major economic activities of its residents.

The Municipality is located in the east-central part of Pangasinan. It is bounded on the north by San Jacinto, on the northwest by Mangaldan, on the south by Sta. Barbara, on the south-east by Urdaneta, and on the east by Manaoag. It is accessible via provincial roads and is approximately 16 kilometers away from Dagupan City, 8 kilometers away from Urdaneta City, and 5 kilometers away from the Our Lady of Manaoag Shrine. The Municipal Hall is located along Pandan Avenue, Barangay Poblacion, Mapandan, Pangasinan.

The workforce of the Municipality consists of 12 elective officials, 89 permanent employees, 2 co-terminus employees, 140 job order (JO) workers and 3 hired contract of services (COS), or a total of 246 municipal officials and employees.

B. OPERATIONAL HIGHLIGHTS

Among the major projects and programs completed by the Municipality for calendar year (CY) 2025 which boosted its social, agricultural and economic growth and delivery of basic services are as follows:

Programs/Projects/Activities (PPA)	Total Cost (₱)
Procurement of 16 Units Rescue Vehicles Isuzu	28,720,000.00
Construction of One Stop Shop Building (Phase 4) at Municipal Compound, Barangay Poblacion	8,497,315.18
Payment for 2 Units Rescue Motor Vehicle for Municipal Disaster Risk Reduction and Management Office	2,999,000.00
Procurement/Installation of CCTV Cameras in Barangay Poblacion	1,152,740.00
Covered Drainage Canal Along Lawin Avenue (Phase 3) in Barangay Poblacion	873,757.65
Construction of Barangay Golden Child Development Center in Barangay Golden	509,755.82
Improvement/Concreting of Road along Palya Street (Phase 1) in Barangay Lambayan	499,298.44
Re-concreting of Road along Orchid Street (Phase 1) in Barangay Nilombot	498,498.68

C. FINANCIAL HIGHLIGHTS

The financial position, financial performance and appropriations and obligations of the Municipality for CY 2025, with comparative figures for CY 2024, are as follows:

Account	2025 (₱)	2024 (₱)	Increase (Decrease) (₱)	% of Change
Assets	582,216,589.67	581,078,738.62	1,137,851.05	0.20
Liabilities	119,889,817.90	110,704,251.97	9,185,565.93	8.30
Equity	462,326,780.77	470,374,486.65	(8,047,705.88)	(1.71)
Revenue	201,222,133.78	173,759,470.48	27,462,663.30	15.80
Expenses	213,323,771.46	185,290,926.73	28,032,844.73	15.13
Surplus	(12,101,637.68)	(11,531,456.25)	(570,181.43)	4.94
Appropriations	240,629,699.51	180,874,904.91	59,754,794.60	33.04
Obligations	230,787,123.92	172,838,970.18	57,948,153.74	33.53

D. SCOPE OF AUDIT

The audit covered the operations of the Municipality for CY 2025. It was conducted to ascertain the fairness of presentation of the financial statements, check compliance with existing laws, rules and regulations and determine whether management in the implementation of its PPAs had attained its goals and objectives in an economical, efficient and effective manner.

The audit included analysis of accounts, review of transactions, test of compliance with existing laws, rules and regulations, review of operating procedures, inspection of programs and projects, interview of officials and employees and such other procedures considered necessary under the circumstances.

We conducted our audit in accordance with International Standards of Supreme Audit Institutions (ISSAI).

E. AUDITOR'S OPINION ON THE FINANCIAL STATEMENTS

The auditor rendered an unmodified opinion on the fairness of presentation of the financial statements of the Municipality of Mapandan for CY 2025.

F. SUMMARY OF SIGNIFICANT AUDIT OBSERVATIONS AND RECOMMENDATIONS

Part II of the report contains audit observations and recommendations that need to be addressed and were discussed with Management during the exit conference conducted on May 26, 2026. Management comments were incorporated in the report, where appropriate. The most significant of which are presented below.

1. The balance of Construction in Progress (CIP) - Buildings and Other Structures account reported in the financial statements does not reconcile with the total cost of actual ongoing project of the Municipality reflected in the Quarterly Reports on Government PPAs with a discrepancy of ₱1,096,244.18 which is not in consonance with Paragraph 25 of International Public Sector Accounting Standards (IPSAS) No. 1, affecting the account balance of the CIP account presented in the financial statements.

We recommended that Management require the Municipal Accountant to prepare the necessary adjusting journal entries to take up the unrecorded CIP- Buildings and Other Structures account, as follows:

Account	Debit	Credit
CIP – Buildings and Other Structures	1,096,244.18	
Accounts Payable		1,096,244.18

2. Procurement and installation of CCTV Cameras totaling ₱1,152,740.00 was awarded to a supplier whose goods being offered were outside its registered line of business as stated in the BIR Certificate of Registration (COR) which is not in accordance with Section 63.3 of the IRR of Republic Act (RA) No. 12009; thus, said suppliers and contractors should have been disqualified.

We recommended that Management instruct the Bids and Awards Committee (BAC) to refrain from recommending award of contract to bidders whose registered line of business does not match the goods to be procured.

We, likewise, recommended that Management instruct the BAC and the Technical Working Group (TWG) to perform the post-qualification of bidders thoroughly by looking into the permits and licenses necessary in relation to the goods/services to be delivered/performed.

3. The Municipality procured various ICT equipment, construction supplies, and refrigerator amounting to ₱504,681.00, wherein the use of brand names in the reference/technical specifications was allowed which is not in accordance with Section 11 of the Implementing Rules and Regulations (IRR) of RA No. 12009, thus, affecting the validity and legality of the transactions.

We recommended that Management:

- a) Require the BAC to issue a Memorandum to all end-users and implementing units strictly prohibiting the practice of tailor-fitting technical specifications to a specific brand or model and requiring that all specifications indicated in the PR and RFQ be performance-based, functional, and generic, clearly aligned with the actual operational requirements of the end-user, in order to promote fair competition and ensure the most advantageous price for the government; and
 - b) Instruct the BAC, with the assistance of the TWG and the BAC Secretariat, to thoroughly review and validate all technical specifications prior to the approval and issuance of bidding documents, to ensure that they are not brand-specific and are fully compliant with existing procurement laws, rules, and regulations.
4. The payment of Hazard Pay totaling ₱110,550.62 for CY 2025 was not supported with proof of actual services rendered under conditions exposing personnel to occupational risks, threats to life, or physical hardships in the performance of their duties, as required under Section 16 of the IRR of RA No. 9433 and Section 21 of RA No. 7305. Consequently, the legality and propriety of the transactions could not be established.

We recommended that Management instruct the Municipal Accountant, in coordination with the Human Resource Management Officer, to discontinue the payment of Hazard Pay on a commutable basis unless supporting documents are submitted to establish the actual rendition of services under the situations or conditions provided by law.

We further recommended that Management evaluate the propriety of the Hazard Pay granted for CY 2025 and, if warranted, require the concerned officials and employees to refund the amount of ₱110,550.62 representing Hazard Pay received without sufficient legal and factual basis.

G. STATUS OF IMPLEMENTATION OF PRIOR YEARS' AUDIT RECOMMENDATIONS

Of the 31 audit recommendations embodied in the 2024 Annual Audit Report (AAR), 22 were implemented and nine were not implemented by the Municipality. Additionally, of the 45 audit recommendations from the CYs 2021, 2022 and 2023 AARs which remained unimplemented as of December 31, 2024, seven were reiterated in Part II of this report, six were implemented and 32 were still unimplemented as of December 31, 2025. Unimplemented recommendations were reiterated in this report due to significant effect in the financial statements and operations.

H. STATUS OF SETTLEMENT OF AUDIT SUSPENSIONS, DISALLOWANCES AND CHARGES

At the beginning of the year, the Municipality has unsettled disallowances amounting to ₱35,187.00. During the year, there were no audit suspensions, disallowances and charges issued to the Municipality and no settlements were made; hence, the balance remained outstanding as of December 31, 2025.